



PRACTICE TEST NO. 3

- Question1 The term which refers to the cost of failure incurred by company after customer contact, compensation, warranties and penalties is _____.
- (a) Prevention cost
 - (b) Inefficiency cost
 - (c) Appraisal cost
 - (d) Internal failure cost
 - (e) External failure cost

Correct Answer **External failure cost**

Answer Explanation External Failure is the costs of failure after customer contact, compensation, warranties, penalties, losses, recalls, claims, including loss of customers.

- Question2 Identify the correct statement, in the scenario where main consideration is the 'value' of a product or commodity.
- (a) Value is on a rationale
 - (b) Price becomes irrelevant
 - (c) Transaction will be a pure business transaction
 - (d) All of the above
 - (e) None of the above

Correct Answer **Price becomes irrelevant**

Answer Explanation Value is intangible and not measurable. Value is not rational. What one values highly, like having the latest car, may have no value for another person. When value is the consideration, price becomes irrelevant. Transactions based on value are not strictly business transactions.



Question3

Identify from the following, the value adding peripheral, specially for durable and industrial Products.

- (a) Services
- (b) Packaging
- (c) Delivery
- (d) Fabrication
- (e) Customisation

Correct Answer **Services**

Answer Explanation In the case of goods, particularly durables and industrial products, services are peripherals that add value.

Question4

Considering the following example as a marketing activity, select from the given options, the parameter of marketing mix which is focused here by these agencies. 'Many of the services provided by government agencies like birth certificate, marriage certificate, domicile certificate etc. are now made online.'●

- (a) People
- (b) Place
- (c) Promotion
- (d) Information
- (e) Technology

Correct Answer **Technology**

Answer Explanation



Question5

Identify from the following, the term which is best referred to a set of rules or processes used to crunch large amount of data on customer preferences.

- (a) Analytics
- (b) Data Synthesis
- (c) Algorithm
- (d) Assimilation
- (e) Machine learning

Correct Answer **Algorithm**

Answer Explanation Algorithms help to crunch data on customer preferences and increase sales. Algorithms can greet visitors with recommendations for shopping, based on the preferences shown by them in earlier purchases.

The minutes spent on e-shopping leave a trail that companies want to dive into, to find out what he was looking for. Algorithms help to do that.



Question6

From the below example, identify the management term used to avoid the mistake: 'A 1% error done by hotel would mean that everyday a guest will leave without paying, 20 orders of fried eggs will have human hair in it, 15 tables would have soiled linen, 250 plates would be broken, drinks of 40 guests would be mixed up and 20 guest would not get the laundry'●.

- (a) Error Free
- (b) Moments of Truth
- (c) Systematic Approach
- (d) Proper Management
- (e) Perfect Administration

Correct Answer Error Free

Answer Explanation It is good management practice to strive for 100% fault free service. There should be no tolerance for errors. Even a 1% error, can mean as many as 100 mistakes per day.

Question7

_____ can be considered as prime underlying rationale of existence of life and general insurance companies as a subsystem of the social system.

- (a) Provide job opportunities in the society
- (b) Welfare of the society
- (c) Utilization of access resources
- (d) To generate extra revenue
- (e) To facilitate individuals and organizations to take extra risk

Correct Answer Welfare of the society

Answer Explanation The health of the society has to be a matter of concern for any business organisation. This is more so in the case of insurance companies. The underlying rationale of both life and general insurance is the welfare of the society.



Question8

Read the following statements and choose the ones which are true with respect to characteristics of rural customers.

- (a) They value means of production like land more than family and relations
- (b) Mobility of rural customers are generally considered high
- (c) Purchase decisions are generally made with approval of elders or seniors
- (d) All of the above
- (e) None of the above

Correct Answer All of the above

Answer Explanation Some of the characteristics of the rural customers are:

- ☐ The mobility of rural customer is high because of bicycles, motorcycles or tractors.
- ☐ It had been noticed that the villager values his cattle and land (means of production) more than the family and his own needs.
- ☐ He may be illiterate: but he is wise.
- ☐ He has a natural suspicion of the smart operators from towns.
- ☐ Cultural constraints may prevent purchase, without approval of elders or seniors. Etc.



Question9

Which of the following are the possible target groups for liability insurance?

1. Pet owners 2. Management of a hospital 3. Board of managers of a housing society

- (a) Only 2
- (b) 1 and 2
- (c) 1 and 3
- (d) 2 and 3
- (e) 1,2 and 3

Correct Answer Only 2

Answer Explanation Liability insurance (also called third-party insurance) is a part of the general insurance system of risk financing to protect the purchaser (the "insured") from the risks of liabilities imposed by lawsuits and similar claims and protects the insured if the purchaser is sued for claims that come within the coverage of the insurance policy.

Question10

Identify from the following, the guidelines issued by IRDAI which are specifically designed to ensure that the rights of the consumers are respected by the agents.

- (a) Code of conduct for insurance agents
- (b) Insurance agents act
- (c) Policy holders protection guidelines
- (d) All of the above
- (e) Only options (b) and (c)

Correct Answer Code of conduct for insurance agents

Answer Explanation The IRDA has, by regulation, laid down a code of conduct for insurance agents. The purpose of this code is to ensure that rights of the consumers are respected by the agents.



Question11

Which of the following option is referred to as an aggregate of both existing and potential consumers?

- (a) Online Portal
- (b) Targeting
- (c) Retailing
- (d) Market
- (e) Shopping mall

Correct Answer Market

Answer Explanation In the subject of Marketing management, the word 'market' refers to the aggregate of consumers, both existing and potential.

Question12

Insurance will operate where there is _____.

- (a) uncertainty in both peril and risk
- (b) certainty in peril and risk
- (c) certainty in peril but uncertainty in risk
- (d) certainty in risk but uncertainty in peril
- (e) certainty in risk and person has insured himself for that risk

Correct Answer uncertainty in both peril and risk

Answer Explanation The risk only means that there is a possibility of loss or damage. It may or may not happen.

There has to be an uncertainty about both the peril and the risk. Insurance is done against the contingency that it may happen. Insurance is relevant only if there are uncertainties. If there is no uncertainty about the occurrence of an event, it cannot be insured against.

Insurance operates only if there is uncertainty in both peril and risk.



Question13

Choose the most appropriate grouping in the concept of marketing, where the term 'discount' fits in.

- (a) Price
- (b) Sales
- (c) Product
- (d) Promotion
- (e) Branding

Correct Answer Price

Answer Explanation 'Price' includes concessions on basic price, discounts, credits, instalments, facilities and delivery terms.

Question14

Identify from the following, the one who is considered as the critical resource in an organization.

- (a) Satisfied customers
- (b) Critical feedback providers
- (c) Professional employees
- (d) Innovative advertisers
- (e) High performing distributors

Correct Answer Professional employees

Answer Explanation People are the most critical resource in any organisation. Without people, no other resource can perform. People alone provide the innovation and initiative that make a difference in quality and customer satisfaction.

Customer comes first but the People (meaning employees working for the service provider) are more first.



Question15

The activity that can be considered as a moment of truth in an insurance service:

- (a) Anniversary and birthday wishes from the insurance company
- (b) A reminder call for policy renewal
- (c) Prompt settlement of claim
- (d) All of the above
- (e) Only option (b) and (c)

Correct Answer All of the above

Answer Explanation In a service industry, problem solving has to be done on the spot by the employee in contact with the customer, during the process of delivery of the outcome. Also, the quality of service has to be continuously improved upon. Every contact point is a moment of truth, a source of satisfaction as well as of a potential problem.

Question16

Identify from the following, the correct option which do not fall under the classification of peril.

- (a) Employee committing fraud
- (b) Smoking habit
- (c) Flood
- (d) Drought
- (e) Options (a) and (b)

Correct Answer Smoking habit

Answer Explanation The concepts of peril and risks have been extended to cover possible losses other than through accident, like the deliberate behaviours of employees committing fraud, robbery, burglary etc., which are also perils with related risks and are not within the control of the owner of the lost asset.



Question17

Choose the correct option/s from the following after reading the statements carefully.

1. Consumer is the decision maker in the marketing process and the role of producer is minimum
2. Marketing is a continuous activity
3. It taking place generally in a static situation

- (a) Only 1
- (b) Only 2
- (c) 2 and 3
- (d) 1 and 3
- (e) 1, 2 and 3

Correct Answer Only 2

Answer Explanation Marketing is a continuous activity, taking place in a dynamic situation. It looks at the decision processes of the producer and the decision processes of the consumer and tries to bring these two decision processes together in an exchange transaction.

If there is no exchange, there is no marketing activity.



Question18

Select the correct option from the following after reading the statements carefully.

1.Consumer is the decision maker in the marketing process and the role of producer is minimum

2.Marketing is a continues activity

3.It taking place generally in static situation

- (a) Only statement (2)
- (b) Only statement (3)
- (c) Statements (1) and (2)
- (d) Statements (1) and (3)
- (e) Statements (1), (2) and (3)

Correct Answer Only statement (2)

Answer Explanation Marketing is a continuous activity, taking place in a dynamic situation. It looks at the decision processes of the producer and the decision processes of the consumer and tries to bring these two decision processes together in an exchange transaction.
If there is no exchange, there is no marketing activity.

Question19

Identify the key area which deals specifically with devising a long-term game plan for achieving long-run objectives.

- (a) Producing a strategic fit
- (b) Establishing a strategy
- (c) Expanding core competencies
- (d) Developing an investment portfolio
- (e) Creating a viable business opportunity

Correct Answer Establishing a strategy

Answer Explanation A strategy, briefly, is a long-term plan. It is how an organisation proposes to achieve a long-term objective or mission. Strategic plans provide direction and all operational plans are derived therefrom.



Question20

_____ is not a part of marketing approach.

- (a) Sales oriented
- (b) Cost oriented
- (c) Process oriented
- (d) Product oriented
- (e) Production oriented

Correct Answer **Process oriented**

Answer Explanation The Marketing approach is different from the approaches that earlier guided the producers. The earlier orientations were:

1. The product orientation
2. The cost orientation
3. The production orientation
4. The sales orientation

Question21

Which of the following services have contributed to the satisfaction of the policy holders, who are very happy with the services provided by their Insurance agent?

- (a) The agent provides them discount in premium for every new policy purchased from him
- (b) The agent delivers the policy document, helps in their policy query resolution and helps them in filling the claim documents.
- (c) The agent just takes the customer's signature on the proposal form and then helps in filling the proposal form on their behalf
- (d) All of the above
- (e) Options (b) and (c)

Correct Answer **Options (b) and (c)**

Answer Explanation



Question22

The marketing strategy which is best suitable for business growth in new markets with new products is _____.

- (a) Diversification
- (b) Pricing
- (c) Promotion
- (d) Market development
- (e) Product development

Correct Answer **Diversification**

Answer Explanation Growth can be achieved through penetration of existing markets with the same products, development of new markets with new products or development of new products for both existing and new markets. Each of these strategies has a different name.

The strategy for New Markets with new products is Diversification.



Question23

Identify the correct statement with respect to the term 'brandscape'.

- (a) It is the place where the brand meets the customer
- (b) It is an amalgam of images and Impressions about a product
- (c) The place where the product is available is irrelevant for the brand as long as the product meet Expectations of customers
- (d) Only options a and b are correct
- (e) Only options b and c are correct

Correct Answer Only options a and b are correct

Answer Explanation The communication about brand is not only through advertising, but also through the distribution outlets and the price. This is described as the brandscape in the minds of the consumer.

The place where consumers meet the product, the environment of that place, the other elements at that place (people, crowd, space, noise, the 'clutter'), all add up to build the brandscape. It is an amalgam of images and impressions, all of which have to convey positive and consistent meanings.



Question24

Study and select the correct option from the following statements with regards to Peril.

- (a) It is an event or circumstances that causes or may potentially cause a loss
- (b) It is something that makes the occurrence of a hazard more likely
- (c) It is an action, condition or situation of an individual or a group of individuals which can result in a financial loss
- (d) Option (a) and (b)
- (e) Options (a), (b) and (c)

Correct Answer Option (a) and (b)

Answer Explanation Assets are insured, because they are likely to be destroyed or made non-functional, through an accidental occurrence. Such possible occurrences are called Perils.

The damage that the peril may cause is called a Risk. Fire, floods, breakdowns, lightning, earthquakes etc, are perils.



Question25

Identify from the following, the action taken by a company, which can be considered as a demonstration of high ethical standards.

- (a) A pharma company is distributing medicines free of cost, which are about to cross expiry date
- (b) An automobile company is recalling their cars for modifications which were found by transport department to have emissions beyond permitted limits
- (c) A food manufacturing company has decided to destroy a specific lot for not conforming to their internal quality standards, causing huge loss to the company
- (d) Only options b and c
- (e) All of the above

Correct Answer Only options b and c

Answer Explanation Managements of organisations establish ethical standards through large and small policy instructions. What the organisation does, will speak more loudly than what they say in policy statements. Actions clarify what the organisation's ethical standards are.

In the above example, the pharma company is distributing medicines free of cost because they are about to cross expiry date. This actually does not show any high ethical standards.



Question26 _____ is generally not classified under Quinary sector.

- (a) Education
- (b) Hospital
- (c) Government
- (d) Manufacturing
- (e) Beauty Parlour

Correct Answer Manufacturing

Answer Explanation The Quinary sector includes activities that change and improve the people. Hospital, education and beauty are examples of this sector.

Question27 When insurance commenced, _____ type of risk was covered initially

- (a) Fire
- (b) Life
- (c) Piracy
- (d) Floods
- (e) Epidemic

Correct Answer Piracy

Answer Explanation Insurance is said to have commenced with Marine insurance, covering goods sent on ships, against the risks of piracy and storms.



Question28

Select the correct options by studying the following statements with respect to 'product portfolio review' of insurance business.

1. Products which are obsolescent are either strengthened further to various marketing activities or taken out of the market
2. Insurance product portfolio is reviewed based on claim ratio, volume of sales, nature of segment catered to etc.
3. Insurance products with very high claims ratio and low premium contribution are generally considered as obsolescent

- (a) Only 2
- (b) 1 and 2
- (c) 2 and 3
- (d) 1 and 3
- (e) 1, 2 and 3

Correct Answer 1, 2 and 3

Answer Explanation The product portfolio must be reviewed from time to time. The purpose of such review would be to determine whether any of the products need to be taken out of the offer or need to be strengthened further.

One of the considerations would be the position of the product in the life cycle. Products getting obsolescent need not be continued with. Another consideration would be the contribution that the product is making to the total performance of the company. In insurance, the contribution can be determined in terms of claims ratio, volumes of premium, size and nature of segment catered to, costs relative to premium, etc.



Question29 _____ is considered as the best example of a cash crop in India.

- (a) Fruits
- (b) Cotton
- (c) Wheat
- (d) Pulses
- (e) Vegetables

Correct Answer Cotton

Answer Explanation Cash crops are grown for direct sale in the market, rather than for family consumption or to feed livestock. Coffee, cocoa, tea, sugarcane, cotton, and spices are some examples of cash crops.

Question30 Complete the following statement with correct option: 'Distribution adds _____ to the product.'

- (a) Stocks
- (b) Storage
- (c) Way side stations
- (d) Place utility
- (e) Distribution chain

Correct Answer Place utility

Answer Explanation Distribution is the process by which the product is moved from the place where it was manufactured to the place where the customer can buy it. Distribution adds 'place utility' to the product.



Question31

Study the following scenario and identify from the following the correct option which represents the correct product life cycle stage of this business. 'As a result of decline of postal business - like letters and money orders, post offices in India are becoming payment banks by leveraging its large network.'●

- (a) Decline
- (b) Growth
- (c) Maturity
- (d) Saturation
- (e) Introduction

Correct Answer Introduction

Answer Explanation The post office has declined as letters are rarely written these days, but is trying to leverage its vast network of offices in remote areas by becoming a payments bank and also by delivering goods ordered on the internet to buyers in the rural areas.

This business is in the first stage which is birth or introduction.



Question32

Identify the correct option from the following with respect to the role of different intermediaries at the insurance claim stage.

1. To assess if the claim is payable and the quantum of amount
2. To ensure that the legitimate claim is duly paid without delays
3. To review claims which have been repudiated on grounds of misrepresentation or fraud

- (a) Only 2
- (b) 1 and 2
- (c) 1 and 3
- (d) 2 and 3
- (e) 1,2 and 3

Correct Answer Only 2

Answer Explanation The effort of the intermediaries at the claim stage has to be to ensure that the legitimate claim is duly paid without delays.

Motor Accident Claims Tribunal is to adjudicate on the quantum of compensation that should be paid to the victims (third parties) of motor accidents.

High Court judge are appointed by some insurers, to review claims which have been repudiated on grounds of misrepresentation or fraud.



Question33

The term which is generally not attributed to the concept of product is

_____.

- (a) Packaging
- (b) Promotion
- (c) Model
- (d) Warranty
- (e) Appearance

Correct Answer Promotion

Answer Explanation Product includes name, design, features, quality, range, size, models, appearance, packaging, warranties, etc., as well as pre-sale and post-sale services like training, repairs, maintenance and replacements.



Question34

Which of the following statement is correct with regards to appointment by IMFs?

- (a) IMFs are required to appoint at least 1 insurance sales person for life insurance, 2 sales persons for non-life insurance and 2 for health insurance
- (b) IMFs are required to appoint at least 3 insurance sales persons for life insurance, 3 sales persons for non-life insurance and 3 for health insurance
- (c) IMFs are required to appoint at least 2 insurance sales person for life insurance, 3 sales persons for non-life insurance and 2 for health insurance
- (d) IMFs are required to appoint at least 2 insurance sales person for life insurance, 2 sales persons for non-life insurance and 2 for health insurance
- (e) IMFs are required to appoint at least 2 insurance sales person for life insurance, 2 sales persons for non-life insurance and 1 for health insurance

Correct Answer

IMFs are required to appoint at least 2 insurance sales person for life insurance, 2 sales persons for non-life insurance and 2 for health insurance

Answer Explanation

Since January 2015, the IRDA has approved of Insurance Marketing Firms (IMF). Companies, cooperative societies or limited liability partnerships can be licensed to become IMFs.

They are required to appoint at least 2 insurance sales persons for life insurance, 2 sales persons for non-life insurance and 2 for health insurance.



- Question35** Which of the following is the initial jurisdiction where an IMF can operate?
- (a) District for which the registration of the insurance marketing firm is valid
 - (b) State from which the registration of the insurance marketing firm is valid
 - (c) Maximum 2 districts (District whether the IMF is registered and an adjoining district)
 - (d) Maximum 2 states (State where the IMF is registered and an adjoining state)
 - (e) All over India

Correct Answer District for which the registration of the insurance marketing firm is valid

Answer Explanation IMFs are allowed to undertake insurance servicing activities and market other financial products through financial service executives (FSE), within the limits of a district

- Question36** The term best refers to set of characteristics used to describe a specific product is _____.
- (a) Product features
 - (b) Product description
 - (c) Product personality
 - (d) Product compilation
 - (e) Product specification

Correct Answer Product personality

Answer Explanation A product is basically something that a producer offers to a consumer to provide satisfaction of his needs. To the manufacturer or producer, the product is an aggregate of technical/physical features and characteristics.

To the consumer, it is an aggregate of utilities, values, expectations and perceptions, a complex cluster of value satisfactions. Even in the case of goods, the customer is concerned with the intangibles associated with the tangible product.



Question37

Select the INCORRECT option after reading the following statements carefully.

- (a) All behaviour is goal oriented
- (b) Empowerment is taught, not learnt
- (c) A Customer's satisfaction is highest when he is treated as a segment of one
- (d) Employees alone can strengthen, or erode, the perception of credibility
- (e) Unlearning is necessary before change in behaviour can happen

Correct Answer Empowerment is taught, not learnt

Answer Explanation Empowerment will not happen through a formal delegation of authority. A person may not exercise authority delegated to him, if he does not feel empowered.

He will act beyond his formal authority, if he feels empowered. Empowerment is learnt, not taught.

Question38

Which among the following refers to investment in generation and use of renewable energy

- (a) IREED
- (b) UJAAS
- (c) REINVEST
- (d) SHAKTI
- (e) RENEWEST

Correct Answer REINVEST

Answer Explanation Government is placing emphasis on Investment in generation and use of renewable energy (REINVEST) like solar power.



Question39

Which of the following statement is incorrect?

- (a) Agent is the primary product in insurance
- (b) The delivery system is the most important part of the product development
- (c) There is no mass production in services
- (d) A product is developed by decisions on service offer and delivery system
- (e) A loss of an asset is not a loss to the community but only to the owner and the insurer

Correct Answer

A loss of an asset is not a loss to the community but only to the owner and the insurer

Answer Explanation

- ☐ Agent is the primary product in insurance.
- ☐ A loss of an asset is a loss to the community and not only to the owner and the insurer.
- ☐ There is no mass production in services. Every product is customized.
- ☐ A product is developed by decisions on service offer and delivery system.
- ☐ The delivery system is the most important part of the product development.



Question40

Identify the correct statement from the following with respect to a customer.

1. Demand for a product is determined by interest of the customer
2. A customer makes the buying decision
3. The customer is the only person who is benefitted from the purchase

- (a) Only 1
- (b) 1 and 2
- (c) 1 and 3
- (d) 2 and 3
- (e) 1,2 and 3

Correct Answer 1 and 2

Answer Explanation The customer is the person who makes the buying decision, which can be different from the person who actually pays for the purchase or who is benefitted from the purchase.

Question41

Identify the stage of product life cycle where the investment cost would be high without adequate returns.

- (a) Growth
- (b) Decline
- (c) Maturity
- (d) Introduction / Birth
- (e) Maturity and Growth

Correct Answer Introduction / Birth

Answer Explanation In the birth/introduction stage, both investment and promotion costs are high without adequate returns.



Question42

Which of the following statements is correct?

- (a) Supervisors should be sitting in closed cabins
- (b) Supervisors should be located close to points where moments of truth occur
- (c) Supervisors should not be talking to customers
- (d) Supervisors should only deal with problems referred to them
- (e) None of the above

Correct Answer Supervisors should be located close to points where moments of truth occur

Answer Explanation Every contact point is a moment of truth, a source of satisfaction as well as of a potential problem.

Question43

Insurance business began with _____.

- (a) Marine covers
- (b) Covering road accidents
- (c) Covering goods in warehouses
- (d) Covering human lives against death
- (e) None of the above

Correct Answer Marine covers

Answer Explanation Insurance is said to have commenced with Marine insurance, covering goods sent on ships, against the risks of piracy and storms.



Question44

Which of the following statements is true with regard to marketing?

- (a) It helps to choose the right journal to advertise in.
- (b) It makes sure that all the products are sold
- (c) It helps to make maximum profits
- (d) Marketing replaces the need for personal selling
- (e) None of the above

Correct Answer It helps to choose the right journal to advertise in.

Answer Explanation

Question45

Complete the sentence below with one of the alternatives provided thereunder.
Intermediaries are important in insurance because

- (a) Most people do not understand insurance properly
- (b) Most people need help to decide which policy to buy
- (c) People have to be persuaded to buy insurance
- (d) Of all the above reasons
- (e) None of the above reasons

Correct Answer Of all the above reasons

Answer Explanation Intermediaries are important in the distribution of the insurance business. The decision to buy insurance is an important decision for most people. It is also a difficult decision. The difficulty arises partly because people have limited knowledge about insurance.



Question46

Which of the following is a key activity in an insurance office?

- (a) Issue of policy document
- (b) Underwriting of proposal for insurance
- (c) Premium collection
- (d) Marking attendance of employees
- (e) Options b and c

Correct Answer Options b and c

Answer Explanation A policy document is important, but is only evidence of contract. A delay will not matter much.

Question47

Insurance business is international because

- (a) It helps international trade
- (b) Covers are reinsured internationally
- (c) Big claims are shared by insurance companies across the world
- (d) All of the above
- (e) None of the above

Correct Answer All of the above

Answer Explanation The business of insurance, particularly non-life business, is truly international. Insurance is closely linked to trade and industry. Reinsurance makes the business of insurance international.



Question48

Which of the following situations can be a Moment of Truth?

- (a) Cashier is busy on the telephone when you are waiting to pay the bill.
- (b) Salesmen in a cloth shop stand up as soon as you enter the premises.
- (c) The telephone is picked up as soon as it rings, when you call your bank.
- (d) All the above situations are moments of truth.
- (e) None of the above situations are moments of truth.

Correct Answer All the above situations are moments of truth.

Answer Explanation A moment of truth is when an interaction occurs between a customer and the service provider that can leave a lasting positive or negative impression on a customer.

Question49

Which of the following statements is NOT correct?

- (a) A purchase will happen only when there is a want
- (b) A purchase will happen definitely if there is a want
- (c) A purchase may not happen even if there is a want
- (d) Needs and wants are related
- (e) All of the above

Correct Answer A purchase will happen definitely if there is a want

Answer Explanation Every person has needs and wants. It is the 'want' that leads to acquiring or buying. What one wants is tangible like dress, bicycle, camera, food, money, etc. One tries to acquire through buying or some other way, what one wants, in order that a need may be met.



Question50

In a restaurant, which of the following is a service element?

- (a) Number of items on the menu card
- (b) Number of tables for customers
- (c) Behaviour of the employees
- (d) Quality of the food
- (e) None of the above

Correct Answer Behaviour of the employees

Answer Explanation